



REA Group – Simplicity Loans & Advisory

MN-65008

Phase 1 Determination

Acquisition may be put into effect

5 May 2026

1. Determination

Notified acquisition	REA Financial Services Holding Co. Pty Ltd, as a subsidiary of REA Group Ltd (REA Group) (ASX:REA), proposes to acquire 70% of the issued share capital in Simplicity Loans & Advisory Pty Ltd (Simplicity) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, REA Group, provides digital advertising and mortgage brokerage services through the below brands and platforms. News Corp owns a ~61% controlling stake in REA Group. REA Group owns and operates: • Mortgage Choice Pty Ltd and Smartline Operations Pty Ltd (Mortgage Choice), a mortgage broker which specialises in residential mortgage broking services (homes and personal loans) and also provides financial planning services. Mortgage Choice also acts as an aggregator – it connects brokers seeking residential loans to a panel of lenders. • Simpology (32.97% interest held by REA Group), an e-lodgement platform used by brokers to submit loans to a range of lenders. • Athena Home Loans (19.9% interest held by REA Group), a non-bank lender which has focuses on residential home loans. • Online property advertising platforms: realestate.com.au (residential property), realcommercial.com.au (commercial property), flatmates.com.au (share accommodation), Spacely (short-term commercial and co-working property), PropTrack (property data services and market insights) and 1Form (centralised platform for rental property applications). The target, Simplicity, is a boutique mortgage broker operating in Sydney, Melbourne and Brisbane specialising in commercial and developer mortgages. Simplicity also operates Marketplace Finance platform (MKP), a bilateral mortgage referral tool connecting third-party referrers (typically residential mortgage brokers with no commercial experience) with Simplicity's commercial mortgage brokers. Fulfilment of the loans occurs by Simplicity's employed brokers via aggregator panels or direct lender channels.
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it

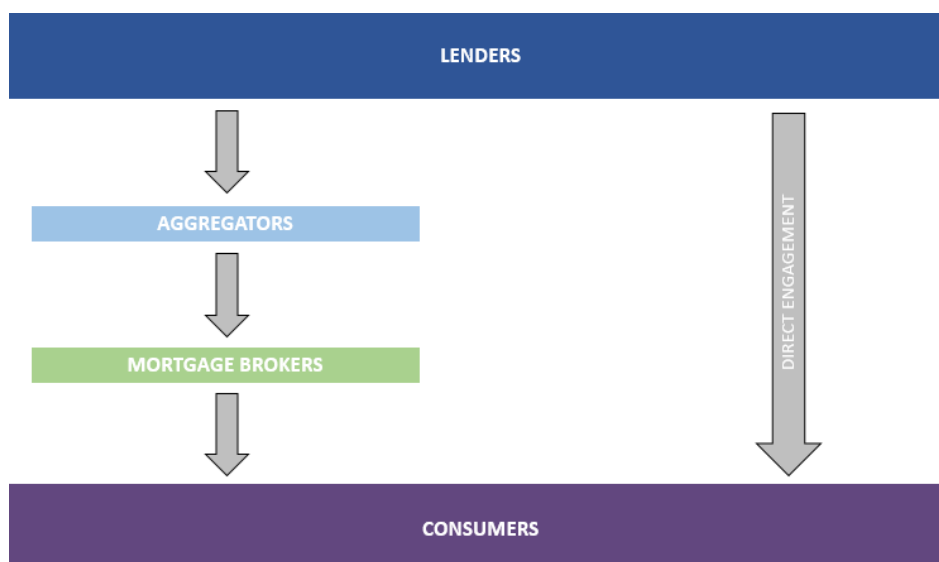
is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.

- 2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's [merger assessment guidelines](#) and [interim merger process guidelines](#).
- 2.3. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Industry background

- 2.4. Mortgage broking services form part of the broader mortgage distribution supply chains shown in Figure 1 below:

Figure 1: Mortgage distribution supply chain¹



- **Lenders** provide finance to borrowers seeking to buy property. Lenders in Australia include the 'big 4' banks, other banks with an Australian presence² and non-banks (e.g. La Trobe Financial, Pepper Money). Lenders can distribute their loans either directly or indirectly through mortgage brokers.
- **Mortgage aggregators** such as Mortgage Choice, LMG, and AFG act as an intermediary between brokers and lenders, providing brokers with access to a panel of lenders and a range of mortgage products, which they in turn recommend to customers. Aggregators have contractual agreements with the lenders on their panel, which allows their affiliated brokers to arrange loans from those lenders for their customers.
- **Mortgage brokers**, including Simplicity and the Mortgage Choice broker network act as an intermediary by connecting borrowers to lenders, generally via

¹ ACCC, '[AFG Connective - Statement Of Issues - 12 February 2020](#)', ACCC, 12 Feb 2020, accessed 29 April 2026.

² For example, ING Bank, Bendigo and Adelaide Bank, Suncorp Bank and Macquarie Bank.

aggregators. Mortgage brokers help customers select an appropriate loan, prepare the loan application, negotiate with lenders and settle the loan. Mortgage brokers are paid by lenders for the services they provide to consumers.

Overlap and relationship between the merger parties

2.5. The merger parties overlap in the supply of mortgage broking services in Australia:

- Mortgage Choice's core business is residential mortgage broking with a small number of commercial settlements via its national network of franchisees and credit representatives.
- Simplicity is a boutique mortgage broker operating in Sydney, Melbourne and Brisbane specialising in commercial and developer mortgages.

2.6. The merger parties may also have a non-horizontal relationship where REA Group through Mortgage Choice brokers or via its online real estate advertising platforms may refer commercial borrower leads to Simplicity's commercial mortgage brokers.

Competition assessment

2.7. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).

Relevant areas of competition

2.8. The ACCC considers that the relevant areas of competitive overlap for the purposes of its assessment of the competitive effects of the Acquisition are the supply of residential and commercial mortgage broking services in Australia.

2.9. The ACCC considers it likely that there are separate markets for residential, and commercial mortgage broking. Individual home buyers for residential mortgage broking and commercial borrowers (corporate clients, property developers, commercial real estate investors etc.) are likely to have different needs. Commercial lending arrangements are also likely to be more complex than residential home loans and require specialist mortgage broking skill sets.

Competition effects in the supply of residential and commercial mortgage broking services

2.10. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the supply of residential and/or commercial mortgage broking services in Australia for the reasons set out below:

- REA Group's Mortgage Choice and Simplicity are unlikely to be close substitutes as they serve different customers with different needs. Based on information from the merger parties, Mortgage Choice's core customer base comprises of individual home buyers for residential mortgage broking with a small number of

commercial settlements while Simplicity's core business is in commercial mortgages with minimal residential mortgages;

- Based on information provided by the merger parties and publicly available information, the market share aggregation arising from the Acquisition is estimated to be low on any market definition, with an estimated post-acquisition market share of below 5 per cent;
- Based on information from the merger parties and publicly available information, the merged firm would likely continue to be constrained by other residential mortgage brokers such as Aussie Home Loans, LMG and Lendi; and commercial mortgage brokers such as Stamford Capital Australia, Green Finance Group and Rethink Financing.

Non-horizontal effects in commercial mortgage broking services

2.11. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition because the merged entity is unlikely to have the ability and/or incentive to harm the competitiveness of rival commercial mortgage brokers, for example by limiting referrals of commercial borrowing leads from Mortgage Choice or its online real estate advertising platforms to Simplicity for the reasons set out below:

- Based on information from the merger parties and market feedback, Mortgage Choice is not a significant source of leads for commercial borrowers and post-acquisition, individual Mortgage Choice brokers will continue to retain discretion over the commercial brokers to which they choose to refer commercial leads;
- Commercial brokers are not reliant on referrals from residential brokers. Market feedback suggests the most important referral channels for commercial brokers are existing client relationships, professional referral networks, real estate agents and direct marketing;
- While REA Group will generate some leads from its online real estate advertising platforms, these leads are unlikely to have a significant impact on the ability of alternative mortgage brokers to remain competitive;
- Post-acquisition, the merged firm would continue to face competition from alternative suppliers of commercial borrower referral programs or platforms, which enables advisors and residential mortgage brokers to refer commercial borrower leads.

3. Applications for review

3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

**Determination made by a division of the Commission constituted by a direction issued
pursuant to section 19 of the Act**